



MERIDIAN FABRICATION LLC

Precision Contract Manufacturing — Automotive & Aerospace Components · 2750 Fabrication Drive · Columbus, OH 43204 ·

EIN on file

FINANCIAL STATEMENTS (UNAUDITED, MANAGEMENT-PREPARED) — TTM ended March 31, 2025

CONSOLIDATED FINANCIAL STATEMENTS

Unaudited · prepared by management · USD in thousands · with comparative prior-year period

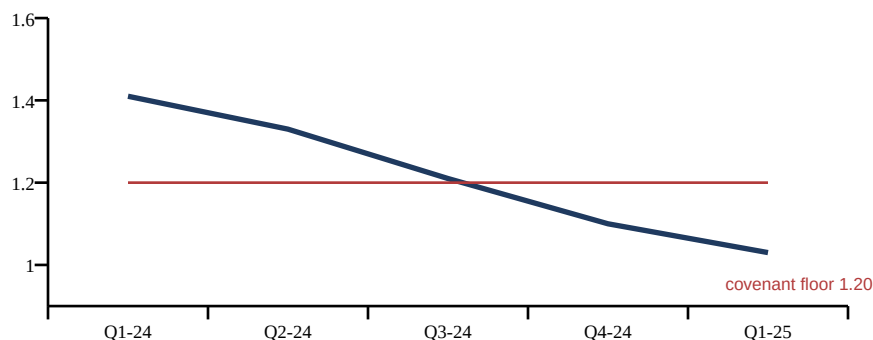
Management discussion (summary)

Trailing-twelve-month revenue declined approximately 13% to \$84.2M (from \$96.5M) on continued automotive-OEM order softness; the Borrower's two largest automotive customers ran below prior-year production volumes. EBITDA margin compressed from ~14% to ~12% (\$10.1M, from \$13.5M) as the fixed cost base — retained to stay ready for aerospace volume — did not scale with the revenue decline. Revolver utilization rose to 85% of the line, used to cover operating cash-flow shortfalls and a working-capital build. Management views the aerospace subassembly contract as the recovery driver, with first meaningful revenue now expected in the second half of 2025 (previously projected Q2 2024, then Q4 2024); the firm purchase order remains outstanding.

Statement of Operations (trailing twelve months)

(\$000s)	TTM 3/31/25	TTM 3/31/24
Revenue	84,200	96,500
Cost of goods sold	(66,900)	(74,800)
Gross profit	17,300	21,700
Selling, general & administrative	(7,200)	(8,190)
EBITDA	10,100	13,510
Depreciation & amortization	(3,400)	(3,200)
Operating income (EBIT)	6,700	10,310
Interest expense	(3,100)	(2,740)
Income before taxes	3,600	7,570
Income tax expense	(900)	(1,900)
Net income	2,700	5,670

DSCR trend (TTM, GAAP basis) vs covenant floor



Balance Sheet (period end)

(\$000s)	3/31/25	3/31/24
Cash & equivalents	1,500	3,200

Accounts receivable, net	9,800	8,600
Inventory	12,400	10,800
Other current assets	1,100	1,000
Total current assets	24,800	23,600
Property, plant & equipment, net	41,000	39,500
Other assets	2,200	2,100
Total assets	68,000	65,200
Revolving line of credit (drawn; \$3,500 limit)	2,975	1,800
Current portion of long-term debt	4,200	3,900
Accounts payable & accrued liabilities	9,100	8,500
Total current liabilities	16,275	14,200
Long-term debt (term, equipment notes & capital leases)	38,275	37,400
Total liabilities	54,550	51,600
Members' equity	13,450	13,600
Total funded debt (revolver + CPLTD + LTD)	45,450	43,100

Statement of Cash Flows (TTM)

Net income	2,700
Depreciation & amortization	3,400
Change in working capital (A/R & inventory build)	(2,500)
Cash from operating activities	3,600
Capital expenditures	(3,180)
Cash from investing activities	(3,180)
Net revolver borrowings	1,175
New equipment financing	3,800
Scheduled debt repayment	(6,700)
Distributions to members	(395)
Cash from financing activities	(2,120)
Net change in cash	(1,700)

Appendix — quarterly trend (last five quarters)

(\$000s / ratio)	Q1-24	Q2-24	Q3-24	Q4-24	Q1-25
Revenue (quarter)	22,500	21,800	20,900	19,900	19,000
EBITDA (quarter)	3,150	2,900	2,500	2,150	2,000
DSCR (TTM, GAAP basis)	1.41x	1.33x	1.21x	1.10x	1.03x
Revolver utilization	38%	51%	55%	69%	85%

Notes to the financial statements

Note 1 — Basis of presentation. Unaudited; prepared by management in conformity with U.S. GAAP and excluding certain footnote disclosures required for audited statements. Comparative TTM prior-year figures are presented for trend analysis.

Note 2 — Debt. The Centerline senior secured facility totals \$8.5M — a \$5.0M term loan and a \$3.5M revolving line (\$2.975M drawn at period end) — at SOFR + 2.75%, maturing March 2027, guaranteed by the managing members. Remaining funded debt comprises equipment term notes and capital leases on precision machining. Total funded debt was \$45.45M.

Note 3 — Receivables. A/R is stated net of a \$0.4M allowance. See the accompanying accounts-receivable aging detail; one \$0.1M invoice is under a quality dispute.

Note 4 — Revenue & customer concentration. The two largest automotive customers each exceeded 10% of revenue and moved to extended 75-day terms at year-end. The aerospace subassembly program is pre-revenue; the related firm purchase order is outstanding.

Note 5 — Financial covenants. The Credit Agreement requires a minimum DSCR of 1.20x and maximum total net leverage of 4.00x, tested quarterly. Management believes the Borrower was in compliance on an Adjusted-EBITDA basis as of the Calculation Date (see Compliance Certificate).

Note 6 — Related party. Compensation paid to the managing members exceeded a market rate by approximately \$0.7M during the period; this amount is normalized in the Adjusted-EBITDA calculation.

Note 7 — Commitments & contingencies. A supplier contract dispute was settled in Q4 2024 (\$0.8M, non-recurring). The Borrower operates two facilities under operating leases expiring 2027–2030.

Note 8 — Liquidity & subsequent events. At period end, availability under the revolving line was approximately \$0.5M; management's plans to restore liquidity center on the aerospace revenue inflection in the second half of 2025. Revolver utilization remained at ~85% subsequent to period end.